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Fuyao Glass Industry Group | Asia Pacific

Research Tactical Idea

We believe the share price will rise in absolute terms over the next 15 days.

This is because the stock has traded off recently, making short term valuation much more compelling. Although Fuyao's 3Q26 earnings missed market expectations due to higher selling cost and a larger FX loss, we believe its long-term thesis remains largely intact, on: 1) an expected 6-7% ASP CAGR over the next decade per company guidance, thanks to a rising contribution from higher value-added products such as dimmable, soundproof and HUD glasses; and 2) volume outperformance over the auto industry, thanks to market-share gains, especially in Europe.

We estimate that there is about a 70% to 80% (or "very likely") probability for the scenario.

Estimated probabilities are illustrative and assigned subjectively based on our assessment of the likelihood of the scenario.

Note, we are EW on Fuyao, as increasing rebates and headwinds from rising energy costs are likely to weigh on margins, and its newly added capacity has met an auto downcycle this year. But the recent share price correction seems overdone to us.

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Fuyao Glass Industry Group (3606.HK, 3606 HK)

China Autos & Shared Mobility | China

Stock Rating	**Equal-weight**
Industry View	**In-Line**
Price target	HK$53.50
Shr price, close (Oct 21, 2026)	HK$51.75
52-Week Range	HK$72.50-47.70
Sh out, dil, curr (mn)	607
Mkt cap, curr (mn)	Rmb129,432.6
EV, curr (mn)	Rmb123,153.9
Avg daily trading value (mn)	HK$154

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Valuation Methodology and Risks

Fuyao Glass Industry Group (3606.HK)

Base case, with HK$1.12/RMB FX rate assumed for A-share base case price target plus five-year average valuation discount of 15% given different investor profiles. Our A-share PT is derived from DCF valuation; key assumptions include a 13% WACC (15.3% cost of equity and 6.3% cost of debt), an 8% medium-term growth rate, and a 3% terminal growth rate.

Risks to Upside

- Higher-than-expected China auto sales growth
- Acceleration in US/EU market share gains
- End to geopolitical tensions

Risks to Downside

- Larger-than-expected slowdown in China auto sales
- Delay in its US plant ramp-up
- Increase in energy/materials costs

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(as of September 30, 2026)

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	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
Stock Rating Category	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1599	43%	455	48%	28%	783	44%
Equal-weight/Hold	1563	42%	394	42%	25%	763	43%
Not-Rated/Hold	2	0%	1	0%	50%	1	0%
Underweight/Sell	570	15%	96	10%	17%	227	13%
Total	3,734		946			1774	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

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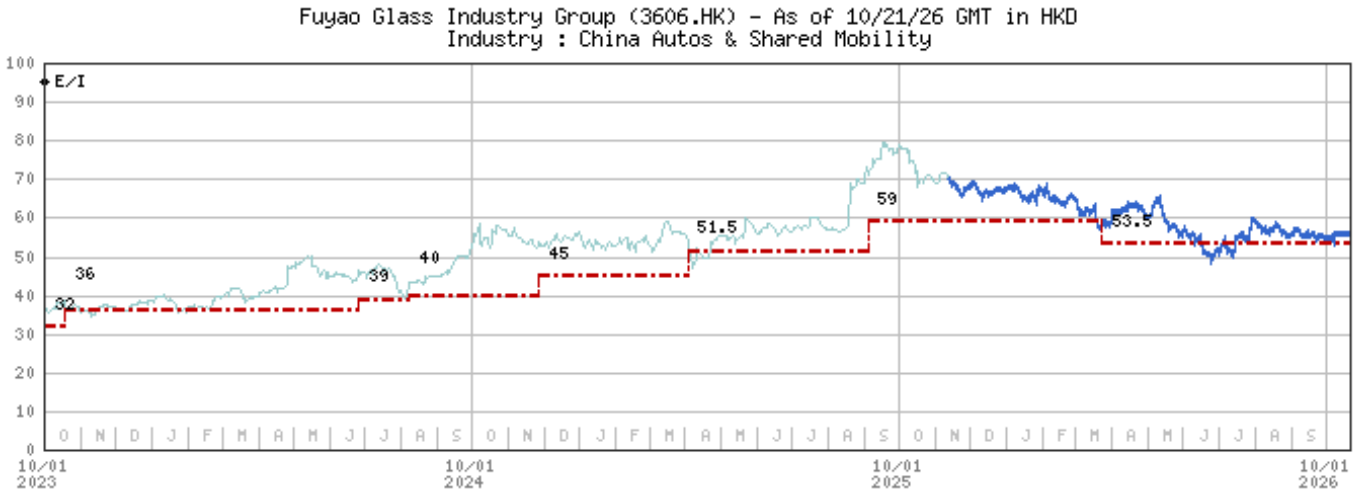
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Stock Price, Price Target and Rating History (See Rating Definitions)



Stock Rating History: 10/1/21 : E/A; 8/25/22 : E/I

Price Target History: 1/15/21 : 46; 3/21/22 : 31; 8/25/22 : 32; 10/18/23 : 36; 6/25/24 : 39; 8/8/24 : 40; 11/27/24 : 45; 4/3/25 : 51.5; 9/4/25 : 59; 3/23/26 : 53.5

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target -·- No Price Target Assigned (NA)
Stock Price (Not Covered by Current Analyst) — Stock Price (Covered by Current Analyst) ▬
Stock and Industry Ratings (abbreviations below) appear as ◆ Stock Rating/Industry View
Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)
Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

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INDUSTRY COVERAGE: China Autos & Shared Mobility

COMPANY (TICKER)	RATING (AS OF)	PRICE* (10/21/2026)
Joey Xu, CFA		
Anhui Jianghuai Automobile (600418.SS)	E (08/19/2023)	Rmb20.70
BAIC Motor (1958.HK)	E (10/02/2025)	HK$0.68
Brilliance China Automotive (1114.HK)	E (03/31/2025)	HK$1.78
Chongqing Changan Automobile (000625.SZ)	E (03/03/2026)	Rmb7.01
Guangzhou Automobile Group (601238.SS)	U (10/23/2019)	Rmb4.91
Guangzhou Automobile Group (2238.HK)	O (05/05/2020)	HK$2.08
Huayu Automotive (600741.SS)	O (09/08/2020)	Rmb14.85
Jiangsu Changshu Automotive Trim Group (603035.SS)	U (09/01/2026)	Rmb9.99
Ningbo Huaxiang Electronic Co., Ltd. (002048.SZ)	E (05/05/2026)	Rmb17.67
SAIC Motor Corp. Ltd. (600104.SS)	O (11/25/2021)	Rmb10.56
Voyah Automotive Technology Co. Ltd, (7489.HK)	O (03/31/2026)	HK$1.58
Zhengzhou Yutong Bus Co (600066.SS)	E (09/22/2023)	Rmb27.90
Shelley Wang, CFA		
Beijing Jingwei Hirain Technologies (688326.SS)	U (09/27/2024)	Rmb52.91
Bethel Automotive Safety Systems Co Ltd (603596.SS)	O (12/11/2023)	Rmb25.96
Changzhou Xingyu Automotive Lighting Sys (601799.SS)	O (09/27/2024)	Rmb67.46
China MeiDong Auto Holdings Ltd (1268.HK)	U (07/10/2026)	HK$0.33
China Yongda Automobiles Services (3669.HK)	U (07/10/2026)	HK$0.72
Foryou Corporation (002906.SZ)	O (03/06/2024)	Rmb24.67
Fuyao Glass Industry Group (600660.SS)	E (12/01/2016)	Rmb51.28
Fuyao Glass Industry Group (3606.HK)	E (12/01/2016)	HK$51.75
Hesai Group (HSAI.O)	O (07/28/2025)	US$13.99
Huizhou Desay SV Automotive Co Ltd (002920.SZ)	O (02/28/2025)	Rmb74.30
Keboda (603786.SS)	O (01/17/2024)	Rmb36.18

Minth Group Limited (0425.HK)	O (08/24/2015)	HK$22.00
NavInfo Co Ltd (002405.SZ)	U (03/06/2024)	Rmb6.12
Nexteer Automotive Group (1316.HK)	E (02/28/2025)	HK$4.26
Ningbo Joyson Electronic Corp (600699.SS)	E (03/11/2026)	Rmb20.96
Ningbo Tuopu Group Co Ltd (601689.SS)	E (11/12/2025)	Rmb42.38
Ningbo Xusheng Group Co Ltd (603305.SS)	E (06/18/2025)	Rmb10.79
RoboSense Technology Co Ltd (2498.HK)	O (10/12/2026)	HK$14.87
Suzhou Recodeal Interconnect System (688800.SS)	O (07/02/2026)	Rmb46.20
TUHU Car Inc (9690.HK)	O (07/29/2024)	HK$11.29
Zhejiang Sanhua Intelligent Controls (002050.SZ)	E (11/12/2025)	Rmb32.93
Zhongsheng Group Holdings (0881.HK)	E (07/10/2026)	HK$2.36
Tim Hsiao		
BAIC BluePark New Energy (600733.SS)	U (08/07/2024)	Rmb4.22
BYD Company Limited (002594.SZ)	O (04/14/2025)	Rmb80.70
BYD Company Limited (1211.HK)	O (04/14/2025)	HK$71.15
EHang Holdings Ltd (EH.O)	E (09/15/2026)	US$3.56
Geely Automobile Holdings (0175.HK)	O (06/26/2024)	HK$14.52
Great Wall Motor Company Limited (601633.SS)	U (03/16/2022)	Rmb13.80
Great Wall Motor Company Limited (2333.HK)	E (01/08/2024)	HK$6.82
Horizon Robotics (9660.HK)	O (12/02/2024)	HK$3.83
Li Auto Inc. (LI.O)	O (08/24/2020)	US$11.93
Li Auto Inc. (2015.HK)	O (11/16/2021)	HK$45.82
NIO Inc. (9866.HK)	O (10/03/2022)	HK$26.26
NIO Inc. (NIO.N)	O (08/26/2020)	US$3.43
WeRide Inc (WRD.O)	O (11/19/2024)	US$4.34
XPeng Inc. (9868.HK)	O (11/16/2021)	HK$36.98
XPeng Inc. (XPEV.N)	O (01/29/2021)	US$9.91

Stock Ratings are subject to change. Please see latest research for each company.
* Historical prices are not split adjusted.

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